

# 2025 Apr 9 Short Sales - How to Buy & Sell w Marty

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## 00:03:37 Speaker 1

Okay. Paula, I dig your uh Zoom name, Golden Girl Paula. Dallin, yours is great too. I mean not everyone can call themselves Dallin Owens and get away with it. So that's awesome. Morning Heather. Happy Zoom day everybody. Okay.

## 00:04:06 Speaker 1

All right, let's go with short sales. So, um, This is hopefully going to be a money - making opportunity that, that nobody on this in this training will have to shy away from because you'll know you'll be short sale experts. You'll be able to capture that. Um, uh Wendy, Did you do any short sales when they were all the rage ten years ago, fifteen years ago? All right. So some of this will be old hat for you.

## 00:04:35 Speaker 2

I'm excited to see what's changed.

## 00:04:38 Speaker 1

Well, so far not much has changed, And I say so far because we're just barely starting to see short sales again. So let me let me set that stage for a second. So right after the two thousand seven, two thousand eight crash is actually when I got licensed. Craig was licensed in oh, seven, and I was licensed in oh, eight. We just are gluttons for punishment that way It was really fun stuff anyway. Shortly after that, after the homes started losing so much value, People thought it was a good idea or of necessity. They were abandoning properties to foreclosure, and their credit was getting trashed. Of course, Because they had a foreclosure and often their taxes would be messed up. Because when you have a foreclosure you either.

## 00:05:31 Speaker 1

Uh, if the bank actually forgives the debt, which is rare, you you realize that as taxable income. Okay. And so now you have a tax bill at the end of the year. Most often the bank does not forgive that as debt. And uh they can actually come after you in a deficiency even after the foreclosure. So if you owed 100, 000 and your house was foreclosed on and it sold for 80, 000 then the bank is shy 20 grand right? Plus they've got all those legal expenses for, Doing the foreclosure, They can come after you for twenty grand, plus whatever their expenses were relative to the foreclosure. So sometimes.

**00:06:09 Speaker 2**

They were forgiving that, but you were still being taxed on it, right?

**00:06:13 Speaker 1**

Yes. Yeah, Sometimes they like I said, if they forget if they forgave part of the debt and they did not come after you for the deficiency, that is normally a taxable event. That counts as income on your taxes. If they forgive the twenty grand yeah that that counts as income. That's how Uncle Sam sees it. Because you received the benefit of the twenty grand when you bought the house, but then you were not required to pay it back, so Uncle Sam sees that as income. So, so that was the way of the land, you know, ten to fifteen years ago. And those foreclosures and short sales persisted even after the market tanked and hit bottom and started to come back up. ;, you would still have people.

**00:07:00 Speaker 1**

That were struggling because the value of their home was still a lot less than what they owed. Because even though the market trough hit a trough in, God, I can't remember what it was twenty eleven? Does that sound about right?

**00:07:14 Speaker 2**

Yeah, I am thinking maybe twelve.

**00:07:15 Speaker 1**

Maybe twelve. Okay, that's when it started to turn around. But it was still a few years. It was a handful of years, until like two thousand, thirteen, twenty fourteen is about when we got back. Okay. So, so that was how many is that? That's like six or seven years of lots of foreclosures and lots of short sales. The majority of what was on the market was still not short sale, but a solid quarter, a third, And in some areas, close to half of the listings were short sales or foreclosures. Today's class is not about foreclosures; it's about short sales. So let's let's dive into that.

**00:07:59 Speaker 1**

First, what is a short sale? And I, you know, I am hoping that we can be we can all participate here. To who wants to to give me a quick definition of a short sale?

**00:08:12 Speaker 3**

You owe more than it's worth.

**00:08:14 Speaker 1**

Yeah, you owe more thanum than the house will sell for. But for some reason you need or want to sell the house. Okay, um maybe let's say you owe, Uh, Let's say you owe five hundred thousand and the house is probably worth and will sell for uh, let's say five twenty five. What do you think about that situation? Is that a short sale?

**00:08:43 Speaker 2**

You said it was worth five.

**00:08:45 Speaker 1**

Let's say it'll sell for five twenty five and you owe five hundred. Okay, there we go Wendy. So Wendy says commissions and expenses. That could be a short sale and it might not be. Don't know. You know, depends on where all those numbers land. Um, What could the agent or agents and the seller and even the buyer do to avoid a short sale? In that case? We're getting a little ahead of ourselves, but I just I want to think about that for a second. Could they avoid it? Avoid a short sale? They could. Yeah, possibly right? Wendy you've got I can tell you got one or two things on your mind. What could be done to avoid the short sale?

**00:09:25 Speaker 2**

I mean, you could negotiate. Obviously, both agents could negotiate commissions.

**00:09:31 Speaker 1**

Can you guys hear Wendy's comments? I'm not sure if the microphone's picking that up. Sorry. It's okay. Anybody give me a thumbs up or a thumbs down? Are you able to hear Wendy? Yes, I can hear her. All right, perfect. Okay, thanks, Wendy. Please continue So, you can negotiate commissions that could that could thin thin that margin down? Yeah.

**00:09:56 Speaker 2**

Draw a blank on what the buyer could do. I'm sure. There's a lot the buyer pay the.

**00:10:02 Speaker 1**

Closing costs.

**00:10:03 Speaker 2**

Yeah, they wouldn't be asking or.

**00:10:05 Speaker 1**

What if the buyer doesn't have enough cash to pay their own closing costs? Is there another trick you could use sure there is you can. This isn't done very often right now. But it still can work the the lender can actually pay the closing costs by if the buyer's willing to accept. A slightly higher interest rate. And the reason.

**00:10:29 Speaker 2**

And still not make it be a short sale? Correct. Oh, okay. Okay,

**00:10:34 Speaker 1**

And what I mean by that is the buyer's lender, not the seller's lender. The buyer's lender can do that.

**00:10:39 Speaker 2**

Okay, buyer's lender, that's where I'm like. That makes sense.

**00:10:41 Speaker 1**

Okay, So but let's say none of that stuff works out and you do your net sheet, and

it's like ten grand short, no matter how hard you guys try and push and shove and everything you're probably going to be a short sale. Okay? So, um, And I you're going to need some forms, and there's a process, and we're we're going to cover that. But, um, let me stick to my notes here. What is a short sale? I I want to read. It's a short little paragraph in the Short Sale Disclosure, which is one of the forms that we'll get to in a little bit. Where is uh here it is okay uh let's see Jenna.

**00:11:22 Speaker 1**

Could I talk you into reading that? It's the yeah, it's right there. Which one? Short sale defined.

**00:11:27 Speaker 3**

Short sale, okay. The term short sale is used in the real estate business to describe a situation where the current fair market value of the property is less than the debt owing against the property. In other words, the seller can't sell the property unless the creditors, Third, parties agree to accept a payment that is less than or short of the amount. Actually owed to those third parties. The third parties may include mortgage lenders, mortgage insurers, bankruptcy trustee, Trustees and federal, state and local taxing authorities such as the IRS or state tax commission or other lien holders.

**00:12:09 Speaker 1**

Correct. There's one more situation I want to throw into that. That is not a short sale, but you might still need these forms. And that is um. Like a bankruptcy or other third party that would need to approve the transaction. You'd still use the forms or a version of them, okay? And if that situation arises, let me know and I'll get the right forms into your hands. Um uh bankruptcy is one example and there's another one. What am I thinking of? Oh, a probate probate situation. Okay? Sometimes, the probate officer or the probate, uh judge or attorney needs to approve a sale like that.

**00:12:48 Speaker 1**

So anytime, there's a third party that uh you know can approve or or needs to approve transaction. You would want to use this process and these forms. The process will be a little different. The forms will be the same or nearly the same. Okay questions so far? Okay why would a seller want to do a short sale?

**00:13:19 Speaker 3**

They have to move.

**00:13:20 Speaker 1**

They got to move? Yep.

**00:13:23 Speaker 3**

And I'm sure they found it's better than foreclosure, but yeah.

**00:13:26 Speaker 1**

Okay, yeah, they they have to move for some reason and it's better than a foreclosure. Let's say, let's say they don't have to move, but they can't afford to keep making the payments. So I guess they do have to move. But, if they can't afford to keep making the payments, their only remedy is to sell the house, right? Or are there other remedies if they can't afford to make payments?

**00:13:49 Speaker 3**

There might be.

**00:13:53 Speaker 1**

They could rent it. They could they could rent it. That could be a potential remedy, right? What else? They could possibly refinance. Depends, if if the current situation is better than the than the situation they were in when they got that financing in the first place. I don't know how to make that green thing, disappear off my there we go. Okay, um.

**00:14:18 Speaker 1**

Uh, let's see. Oh, do you guys know what a loan modification is?

**00:14:22 Speaker 2**

They're better than they used to be, right?

**00:14:24 Speaker 1**

I hope so. I haven't seen a lot of them lately. Never either. Okay, Jenna, you're nodding your head yes also. What what's a loan modification?

**00:14:31 Speaker 3**

Like they can maybe modify your terms.

**00:14:35 Speaker 1**

Modify your terms? Yep like what kind of what are you thinking of? Well,

**00:14:39 Speaker 3**

Let's say if you missed a few payments, sometimes, if you qualify, they might be able to like take those payments and put them on the end of your mortgage.

**00:14:47 Speaker 1**

Right, So instead of a three hundred and sixty month mortgage, maybe now you have a three hundred and sixty four month mortgage. Something like that. Yeah. So they'll they'll kind of catch you back up artificially, right? But you still have to make the payments going forward. Okay. How else might they modify it? I've I've seen them do what you just said Jenna put the payments on the end. But, then they convert it from a thirty year to like a forty year mortgage, which makes all the payments lower a little bit, right? Um, Another thing I've seen them do is actually cut the interest rate to to one or two percent, even depending on the situation and

maybe do all of the above. So so they can do modifications like that that can benefit the homeowner. None of that really works if they got to move though. Okay, They're not going to do that if you are going to rent the house out.

**00:15:44 Speaker 1**

And if they do that, and you're usually if they do a loan modification, they will actually make any rents you receive assignable to them. Meaning that if you rent the house out in the future, the tenant has to pay the rent directly to the mortgage company. I did see that once. Yeah, you've seen that? Yeah. Okay, so those are all ways to avoid a short sale. One more way to avoid a short sale: Actually, I am going to name two more, and then we'll keep going on short sales. Two more ways to avoid short sale is to you can do what's called a deed in lieu of foreclosure. Anybody know what that is? Wendy's nodding her head.

**00:16:27 Speaker 3**

Give it back to the mortgage company or give it back to them,

**00:16:30 Speaker 1**

Yes, Yeah. You say look.

**00:16:35 Speaker 1**

Correct It's a little better on your credit, You usually suffer much less of a deficiency than a foreclosure because the mortgage company doesn't have nearly as many legal expenses. There are still legal expenses, but they're much lower. You'll save yourself like ten grand or more by doing a deed in lieu rather than letting the bank foreclose on you. And one more way to avoid a short sale or a foreclosure is to do a bankruptcy, okay? And I am not going to get into that ; I am not a bankruptcy attorney ; I don't know that stuff, but.

**00:17:07 Speaker 1**

All of those could be alternatives to foreclosures or short sales. Okay, Now let's say, though, that short sale is the thing to do because it's easier on your credit than a foreclosure. And ultimately, it will cost you less than a foreclosure because the deficiency will be much lower, et cetera. And I think I just said it'll be easier on your credit. I did say that. Your credit does still take a hit, and we'll talk about that in a minute. Um, let's see. Any other reasons that someone would want to do a short sale as a seller? Those are the main ones. All right. Why would a mortgage company want to do a short sale?

**00:17:56 Speaker 2**

It keeps it on their books. I mean, it's not there's a lot less hassle. I don't know how to explain that.

**00:18:03 Speaker 1**

There is a lot less hassle, Um, because they they usually don't have to hire a foreclosure attorney. For example, Most mortgage companies that operate in Utah

will hire one of two major foreclosure attorneys in the state. Okay, There's one Holiday and Watkins in Salt Lake. And there's Lunford I think is one of the other major ones. Yeah. And it costs them many many dollars to do that. And with a short sale they don't have to do that.

**00:18:35 Speaker 1**

So the bank likes it because it will head that off. The bank also likes to do a short sale because usually the homeowner will stay in the house and continue to care for the house until things wrap up. Unlike a foreclosure, often the seller will be disgruntled or, the seller, The homeowner will be disgruntled and angry and yeah, trash the house, or often steal things from the house. For example, you've seen this, right? They'll steal appliances. Yeah. Oh, doorknobs. Yeah, copper, right? Wiring. They'll steal stuff from their own house. So again, a bank usually likes it because of that. That's why a bank or mortgage company would want to do a short sale. But, they don't You can't just raise your hand and say, I'd like to do a short sale, please. And the bank just says, okay, You know that's not how it works.

**00:19:32 Speaker 1**

That's right. So we'll we'll get to that process in a second. Um, actually let's let's kind of go there. What's the process like? So, if you're having trouble making your payments, and you're communicating with the mortgage company, who are you usually what department are you usually communicating with? Loss mitigation. Not quite close though we're going to get there.

**00:19:54 Speaker 2**

Who did you say? Loss mitigation. That's okay that's right, I was going to say to you, so yeah, there's something prior to that. Yes,

**00:20:03 Speaker 1**

We're going to talk about lost mitigation. So you'reum but I in the meantime, I put the clue up on the screen. Oh.

**00:20:11 Speaker 3**

Loan servicing department.

**00:20:11 Speaker 1**

Loan servicing department that's excellent. Oh that's right. Well done.

**00:20:14 Speaker 2**

Okay, okay, it didn't used to apply, but everybody has that now.

**00:20:18 Speaker 1**

Yeah. So there's a loan servicing department. This is the same company that you call when when they post your payment late. And it wasn't late, and you could. Go to figured out or you didn't get your ten, ninety eight on time. And so you are calling them or whatever the issue is okay. These are the same folks that handle um late



payments and late notices and notices of default, uh and all that jazz. This all goes through the loan servicing department. The loan servicing department has an arm that handles foreclosures. They handle all that kind of stuff. Okay.

**00:20:55 Speaker 1**

So, they are going to this is this is how the loan servicing department likes to work. Okay, they deal with all the foreclosure stuff, uh, they document stuff as long as that documentation serves them. Is that true?

**00:21:11 Speaker 2**

It's based on how long your phone call lasts.

**00:21:13 Speaker 1**

Oh yeah, yeah. I did not know that. Sure, that might makes total explains some things doesn't it? Yeah so theyum, They cost the loan servicing department costs the investor money. It doesn't make them money, it costs them money. So the the quicker they can get you off the phone and get to the next caller, the more money they save. So they actually incentivize most most companies do this. They incentivize the reps based on how many calls they can get in per hour, and they win prizes, even things like that. Okay, uh so they're not your advocate.

**00:21:51 Speaker 1**

That's the picture I am trying to paint. And, they're not going to release any information to you if you are not the borrower, unless you jump through whatever hoops they've got. Most of them have a form, some kind of authorization. Yeah, at the very beginning of the process, They used to do it by voice, and they would make notes in the system, But very quickly, they stopped doing that and they made the borrower sign a form. And a lot, it's not always like this, but a lot of them have to be wet signed, meaning they won't accept a digital signature. Which is funny to me because you can you can buy a house now on a digital signature. You can get a mortgage on a digital signature, but you can't authorize it anyway. That's that's neither here nor there. Yeah, that's just what their rules are. It's usually a huge department with thousands of employees. It would.

**00:22:49 Speaker 1**

Be a miracle if you got the same person twice. Okay, we're not talking about um, you know Bingham Bank or or something like that. We're talking about you know if Bingham Bank originated your mortgage, Guess what they sold it, they sold the servicing to Wells Fargo, okay, or Bank of the West, or something like that. These um huge companies that do loan servicing. So you are not going to talk to the same person twice. Um now let's say you jump through their hoops You sign their authorization, or rather your borrower, your client signs the loan servicing department's authorization form and you send it in. At, this point you should start talking to your seller about the fact that the only thing you can guarantee with a short sale, is that something unreasonable will happen. Yeah.



**00:23:46 Speaker 1**

In this case, that looks like you sign the form, you send it in, And three days later, because they told you it would take twenty four hours to process. So three days later, You call and check on it, and they have no idea what you are talking about. Okay. So, you do it again and you check on it. Two days later, five days later, they have no idea You know You'll send it into them, three or four times before it sticks. Okay, Um We used to fax these things in Do you remember And It would I I imagined in my head. Like a whole ream of paper sitting on top of their fax machine. Yeah, now it's usually emailed or sometimes even mailed in. They don't do faxes anymore, thank heaven. So it's a little crazy that first stage, which is kind of arguably the simplest stage, is sometimes the hardest one to get through. Okay, what you really want to do is get out of the loan servicing department.

**00:24:44 Speaker 1**

And talk to which department? The loss mitigation department. Okay, and I'm mentioning these because of something that we'll talk about in a second. You might have a foreclosure and a short sale happening at the same time. And we'll talk more about that in a minute, but so you'll have these two departments that don't really talk to each other. And one of them's working on a foreclosure and the other one's loss mitigation handling your short sale. And let's say you've got the short sale approved, Well, I'm jumping the gun. I'll save that for a minute later. But let's see. Okay, so loss mitigation department, what they look like is they protect the lender against losses. They're not in charge of servicing the investment anymore. They're in charge of minimizing losses. And these guys are they suffer from what I call \$ 10 an hour syndrome. Okay, they got a stack of files 100 deep on their desk.

**00:25:42 Speaker 1**

They don't care about you. They don't care about the seller. Their job is to minimize losses, and they have formulas that they follow. And they're just they're order takers most of the time. And again, These are not if you got the loan from, you know Bingham Bank around the corner, these are these don't work for Bingham Bank. You know um they work for the the loan servicer, just not in the servicing department in the loss mitigation department. The good news is, It's usually a much smaller department. So with this, it actually makes sense to keep a conversation log. You should do that really the first time you talk to the loan servicing department. But, it will especially benefit you in the process. If you keep a simple conversation log on a Word document or just on a piece of paper, it doesn't matter. The name of the person you talked to, what time it was and what was discussed.

**00:26:40 Speaker 1**

What expectations were set, what promises were made, what was requested and what was provided. Okay? So just some brief details about the conversation. The reason for that is because you'll have the same problem that I talked about with the loan servicing department. You'll send in something that they requested. And a

week later, they are still waiting for you to send that in. Say okay, I sent it to this email address on this date as requested by, you know, John Smith. When I talked to him on the phone at nine, forty two a m yesterday, okay. Um, you know I even got a response. I got an acknowledgement from so and so. You know whatever you are gonna you are gonna lay all that stuff out. If you do that, okay, I am telling you that stuff not so much to protect you because, you are not really taking a lot of risk here as an agent. Um, But what it will do is it will make the short sale process actually accelerate by a huge factor. Okay.

**00:27:38 Speaker 1**

Instead of taking six months, you could cut that down to a third of that. It'll take sixty days maybe instead of six months if you follow this. Every time you have a conversation with someone, the way I used to do it is you would start by saying, "Hi, how are you doing? I am Marty from Primary Estate Experts. I am calling because I had a conversation yesterday with so and so at this time, who said, I should do this after I had a conversation with so. And so the day before that at this time." You basically Lay out how many freaking times you've yeah, you've talked to their department about the same issue. Usually when you do that, The person that you're talking to is much more incentivized to own whatever the situation is. And if they don't, they're extremely happy to pass you up to their lead. You follow me? Once you get their lead, don't let go of their lead. Okay? Get that extension number and say, hey, okay. Thank you so much for helping me today.

**00:28:36 Speaker 1**

Um, I'll get that document that you requested to you, uh, you know, by tonight. I would like to follow up with you tomorrow. Uh, what time can I call you back tomorrow? This kind of stuff. Okay. Um and you just keep the same notes because even the leads have little teams of leads. They they're called leads. They're not really leads. They're just like next level up okay? And uh so then you'll say then you'll start the whole thing over again, I had a conversation here, had this conversation, then that one, that one. And now I'm talking to you. And you're professional and patient the whole time. But, you're clear on the fact that uh uh, That you expect better help than this. And uh You know You You can push your weight around a little bit Okay? But, but keep in mind These guys are not getting customer service scores. They're the loss mitigation department. They don't care about you or the situation. So keep that in mind Be a little patient.

**00:29:31 Speaker 1**

But firm at the same time. Okay, does that make sense? Do you follow that? Absolutely. Okay. So, this is how to navigate the process and I'm just giving you the basics, but that's probably honestly, The conversation log was the most important tool that I learned to use doing short sales. That saved so much time. And as far as timeframes go, my shortest short sale that I ever did only took two days. And that's because the seller had a buyer that was in, and the buyer had just gotten approved.

The listing agent told me exactly what the terms were of the approval. We quickly wrote it, and those terms were acceptable to my buyer. We quickly wrote an offer that matched exactly the terms that the short sale bank was approving, and that buyer had bailed. Okay, and so we just snuck right in.

**00:30:29 Speaker 1**

Yep, And they, the only difference was a change of the name as far as the lender was concerned. And I said okay, and they just continued with it. We got it approved in two days. It's crazy. My longest one took over a year to get approved. Okay, most of them were six to eight months. Um yes, This go around, there are far fewer short sales, and so I anticipate that you have one. It'll probably be two to four months. Um another major difference is that that Um, That downturn in prices lasted like were just talking about for six plus years. It took from the dip to the recovery. And this last go around, We we started to dip in prices April of twenty two and were were already We're already above where were in April of twenty twenty two So I. Don't expect that there will be a huge volume of short sales like there was last time. However, anything can happen. You know that right?

**00:31:28 Speaker 1**

Um, okay, And I want to hit a different point why an agent would want to become an expert on short sales. But we'll get there; we're almost there. Okay, why would a buyer want to participate in a short sale? What do you got, Craig?

**00:31:46 Speaker 4**

Why buyer would yeah back in the day usually would get a discount.

**00:31:52 Speaker 1**

That's right. Okay,

**00:31:54 Speaker 4**

I don't know if that's holding true today because I haven't looked at done analyses on the. In the current short sale market.

**00:31:59 Speaker 1**

I predict that if it doesn't hold true right this second, it will within six months.

**00:32:05 Speaker 4**

So there should be some level of discount. Yes. Well, fewer buyers are going to go after them.

**00:32:10 Speaker 1**

That's the key. Why is that Craig?

**00:32:12 Speaker 4**

They don't want to mess around with. But you don't know if the price is going to be approved, you don't know how long it's going to take for the approval.

**00:32:18 Speaker 2**

Right There's enough.

**00:32:20 Speaker 4**

Inventory that they can find something else Yeah, There is tons of inventory out there. And. The other thing, too, is like that short sale addendum. You maybe have already gone over it.

**00:32:29 Speaker 1**

Not yet, but we okay.

**00:32:30 Speaker 4**

It gives the seller a get out of jail free card.

**00:32:32 Speaker 1**

Yeah, the seller can actually cancel. Yeah,

**00:32:34 Speaker 4**

And you can't stop them. And for any reason, they don't even have to wait. They could just like, yeah, we're choosing a different path right? Which is the only time that a seller sort of has that get out of jail free card That's right That's,

**00:32:46 Speaker 1**

Right So. There's a lot of question marks Thanks Craig A lot of question marks uh for a buyer with the short sale, and it's a pain in the butt. Um. And it could be a lengthy process, all of those things. So, uh, that's why usually you can get a short sale at a discounted price. Now the last go around the discount amounted to four to six percent, usually four to five percent off of market price. But that doesn't sound like a lot unless you're talking about a five hundred thousand dollar house. How much is five percent off of five hundred thousand dollar house?

**00:33:26 Speaker 1**

Twenty five grand, okay. So, you could get a five hundred thousand dollars house for four seventy five ish. And like we were just talking, I don't know if that's going to hold true immediately since we're just getting back into short sales, but if it doesn't right this minute, I believe it will soon. Um, okay, great. So we just kind of talked about the why part of that as well and Craig hit. On this just now a little bit, what should a buyer be aware of when their offer to buy a short sale is accepted? What should a buyer be aware of when they're when they're offering a short sale is accepted by the seller?

**00:34:13 Speaker 4**

It's not accepted.

**00:34:16 Speaker 1**

It's not accepted.

**00:34:17 Speaker 4**

That's right.

**00:34:18 Speaker 1**

So do you have a contract?

**00:34:22 Speaker 1**

Somebody say yes because you have a contract. Yes, But it, but part of the contract says that the a third party has to weigh in on it. Okay, So there's some influence that the bank can yield and will I said yield. I meant wield, sorry, There's influence that the bank will have on that contract. The bank gets to weigh in on it and they will. Uh, okay. So that's one thing. Um let's talk about a couple others what the approval process is. Okay, you can lay it out for them briefly, like I just did. Um, and I highly recommend that little phrase that I mentioned before. You tell you know Mister Misses Buyer, the only thing I can guarantee you with this short sale process. Is that something unreasonable will happen. Okay?

**00:35:07 Speaker 2**

You might get foreclosed before you get to buy it.

**00:35:09 Speaker 1**

Yeah, you could you could get everything approved. Um, you could have clear to close. You can even go to the signing table as the buyer and it'll get foreclosed on. The you know the the day you're supposed to close on it. Uh, I had that happen I think one time. And it's yucky, it doesn't make sense. The bank is going to lose a lot more money by foreclosing on it than they would have with your short sale.

**00:35:34 Speaker 3**

Do they do that because they think they can sell it for more?

**00:35:39 Speaker 2**

No. I think there's a lack of communication from one department to another.

**00:35:43 Speaker 1**

Yes, it's mostly lack of communication and coordination. They're just not set up to do that. A foreclosure is a sure thing for them, And a short sale isn't with a short sale, A buyer can fail to close at the last minute or yeah, or a seller could have an issue, you know, whatever. And so they are once the foreclosure process starts, it's really hard. You can do it. In fact, it's frequent that you can stop a foreclosure if you're deep into a short sale process, but you have to really be on it and I.

**00:36:18 Speaker 1**

Can help if that comes up. I can help you wade through that. But that can be really frustrating to a buyer, right? Yeah, they've already spent, you know, maybe they've got the moving van loaded. You know, that kind of stuff can happen. That's another reason buyers could potentially not want to do a short sale, which is again why

short sales eventually allow allowing you allowing Excuse me, Allow you to get a discount on the price because fewer buyers are willing to do them. Um, let's see. So once once a buyer gets one under contract and accepted by the seller, now that Relpsi is hopefully going to be sent to the bank for approval. And now we're sitting for two days to a year or more, Or more likely two to four months, something like that. While we're waiting for the bank to approve it. What should the buyer do in the meantime?

**00:37:19 Speaker 1**

Yeah, Probably go look for other properties.

**00:37:23 Speaker 1**

Yeah, Because here's how it'll work: the mortgage company will approve the short sale, and then the buyer has a chance to say, " Yeah, never mind. Okay. I found something else." Maybe the buyer's even closed on a property since then. Okay, now there are we don't have time to get into them, but there are some strategies that you can use along the way to just like the situation where. Where I helped, and it was actually my buyer was actually one of our agents that's here. Um, Helped him because the um the buyer on that transaction had closed on something way beforehand, but did notify the approving mortgage company. Rather, I should say the listing agent did notify the approving mortgage company because they weren't required to, and they wanted that the mortgage company, what's that? They wanted the approval. Yes.

**00:38:16 Speaker 1**

That's exactly right. They wanted that rep seat to work its way all the way through the approval process so that all those pins were knocked down. And then they could just replace it with one. Okay, so okay, let's see. We'll talk about why an agent would want to list a short sale in a moment. One of the things to keep in mind. Oh, I forgot to mention this one here artificially low list prices. So why would, in light of what you have learned in the last 35 minutes, why would a short sale listing be listed as artificially low? If you've got one that's worth 500, you could probably pick it up for 475 as a short sale. Why would somebody list it at 399?

**00:39:08 Speaker 2**

Multiple offers. I mean is that.

**00:39:10 Speaker 1**

Yep they could get multiple offers on it. Is that. Absolutely. Gets bid up. Any other reason?

**00:39:21 Speaker 2**

I'm sure you got one. I.

**00:39:25 Speaker 3**

Have. They would be, I don't know. Say it, say it. Um, paying less commission?



Paying less commission?

**00:39:35 Speaker 1**

I hadn't thought of that. That could be a reason, but if it's really worth 500 and they're listing it at 399, what's probably going to happen as far as offers go? They'll get lots of offers, and where will the offers be?

**00:39:48 Speaker 3**

Higher than 399.

**00:39:49 Speaker 1**

Yeah, they'll probably be closer to somewhere between 475 and 500. So why would you bother doing that? Why not list it at five ten and drop it to five. Oh, five, if you don't get offers, And then drop it to five, oh two or five hundred or four ninety nine? Why would you go crazy low?

**00:40:11 Speaker 2**

Just to get an offer in. As you get a lot of people in.

**00:40:16 Speaker 1**

Say that again, Wendy.

**00:40:17 Speaker 2**

Just to get the offer in, to submit it, to start the process. Yeah.

**00:40:22 Speaker 1**

Yeah. Get the offer in to submit it to start the process. Then once the bank goes through their process and gives you an approval amount, which may be quite different from the offer you submitted, then you've got an approval amount. You can actually say on the MLS, this list price has been approved by the bank, and that's a big deal. It suggests that there will be fewer question marks for the buyer about what price it's going to end up at, but also we're down the road with the process and probably not guaranteed, but probably the process will be much shorter. Okay, so watch out for those artificially low list prices on a short sale. Okay, Why would an I got to do this kind of quick because we need some time to cover the exciting forms? But why would an agent.

**00:41:12 Speaker 1**

Want to list a short sale or become a short sale expert? Like there were there were agents who made this. No, I'll give it away if I say that. Yes, it was it was their niche. Yes, so that that's a main reason because it can be a solid niche. There was a couple in the brokerage that Craig and I grew up in that did this as their main thing. That's all they did was short sales and they were good at it. But it took them a lot longer to earn a commission. Okay, so instead of a thirty day or sixty day process, it was now a six to eighteen month process. Okay for earning a commission. Um and the commissions. One of the one thing we haven't talked about is one of the things that



uh short that I excuse me, A mortgage company will do with the approval process is they will often uh, they'll give you haircut on the commissions. Yes.

**00:42:06 Speaker 1**

So the short sale company can actually, or excuse me, the mortgage company can actually dictate a maximum amount of commissions. What was common back then, it was very common to do six percent back then all day long, three and three all day long. And the mortgage companies would just flat do five percent total. And there's no negotiating that. It was take it or leave it. And, so you'll often see in a short sale, it says that you know, final commission amount will be split. Fifty fifty between buyer and seller's agents, or something like that. Ledy, that sounds familiar to you, I am sure. Yes. And, so even the agents weren't sure until the end exactly what their commissions were. Yeah, I had one agent that signed a seller up at seven percent, anticipating that his commission would be that the total commission would be cut to six. It didn't happen that way; it was cut from seven to five, but he was hopeful. Um okay.

**00:43:03 Speaker 1**

So why would an agent want to do that? There's the niche, right? The niche.

**00:43:07 Speaker 2**

Weren't they other agents paying them upfront to do the short sale?

**00:43:11 Speaker 1**

Oh, I forgot about that, Wendy. That's really true. There were agents who would take a short sale listing, but they were not and had no desire to be short sale experts. And. So they would actually pay a fee to another agent to go through the process of doing the conversation log and doing all that rigmarole on their behalf or on their client's behalf. So, yeah, there were short sale experts that were servicing other agents' short sales. Absolutely, I totally forgot about that. Yeah, that was a thing. Another reason that you would want to really master the technique of doing short sales is sometimes you'll have a client. Imagine this that you really want to help, okay. And you want to help them uh.

**00:43:57 Speaker 1**

Be able to save money, save on taxes, save on their credit, Et cetera, by doing a short sale rather than dealing with the foreclosure or deed in lieu. Or rather than sending them to an agent who says they know how to do short sales and really doesn't. If, you hire an agent who says, I'll do your short sale for you, and they don't know what they're doing. There's a much higher chance that that poor client will end up in a foreclosure than if they hire. You who does know what you're doing.

**00:44:27 Speaker 1**

Okay, we talked about the process a bunch. Let's uh let's let's go quick into the forms, the exciting part. Okay, because this this it's it's not exciting but it is

important. So we're going to go to forms where are my forms? Here they are. Okay so the first one we're going to do is the short sale disclosure. These are all in the MLS and I believe they are all in um.

**00:44:58 Speaker 1**

Brokerment as well, but at least they are all in the MLS. Okay, so the short sale disclosure this goes to buyer or seller; it doesn't matter. Okay, This is the first I've got them in order of how you would use them um in your packets, but and I'll cover them in that same order here. But I have one of these is out of order; don't worry about that. So anyway, the short sale disclosure it basically Covers some of the stuff that we've been covering just now. Um, it gives them a heads up. For example, section three right in the middle, it says for example, The third parties may not permit the seller to pay for any of the buyer's closing costs. You know each mortgage company makes up their own rules regarding short sales. This a common one. You may have a buyer that, that says, yeah, I'll pay you 500, but I want you to cover 10 closing costs. And the mortgage company is going to say this approved, except we're not.

**00:45:56 Speaker 1**

Letting the seller pay ten grand at closing costs. For some reason, that's a common one. Uh, let's see. And this one delays in response time. We already sort of talked about that. Write to the third parties to encourage additional offers. So it's possible that the uh the third parties, you know, the banks Here we go Where are we? Where are we Anyway, the banks may require the seller Oh here we go, The seller to keep the property on the market and to send all offers to the bank for approval. It's also possible that the mortgage company will require the seller to only send one offer to the bank at a time, okay? Just each one has their own rules. So this just discloses that there may be different ways that it'll be dealt with. This is a reminder of what Craig just said.

**00:46:51 Speaker 1**

The buyer or the seller can cancel at any time up to the third party approval or the third party approval deadline, okay, whichever happens first. So that's something that's weird. As far as tax and legal consequences of a short sale or taking steps to avoid a short sale, please follow this, you know, encourage them to consult a tax or legal expert. You are neither of those. That's very, very important because people people are vulnerable in a short sale. And if it goes upside down and you didn't handle that correctly, when when somebody feels like they have to sue, they sue everybody. Their attorneys will encourage them to sue everybody: buyer's agent, seller's agent, buyer's brokerage, seller's brokerage and everybody else involved regardless of whatever you think.

**00:47:49 Speaker 1**

Whatever they think you did wrong or did not do wrong, the attorneys are going to find something. So please don't give them legal or tax advice, okay? Okay, next one

we got. And please break in and ask questions because I have to try to cover three or four more of these and not a lot of time. And I want to give you at least an introduction to them. So if there are questions, I'm not going to probably stop and encourage questions, but I still want you to ask them. Fair. Okay. Okay, so we talked about the short sale disclosure. The next one that you're probably going to deal with if you're on the selling, the listing side is the addendum to the ERS, the addendum to the listing agreement. And, this frankly, says a lot of the same things as the short sale disclosure says at the top. But it also warns them.

**00:48:43 Speaker 1**

That the one thing we didn't talk about. Okay, with the loss mitigation department, When you submit a short sale to them or get the paperwork started with the mortgage company before you put it on the market to get a short sale going. Um, Part of the approval process will be that usually, they collect financial information from the seller who is their borrower, and they make them qualify for the short sale. Which I'm kind of chuckling about because it's actually kind of similar to when they qualified to get the mortgage in the first place. The difference is, in this case, they have to prove that they can't afford to keep the mortgage. Okay, So they're going to ask for tax returns and bank statements and pay stubs and all that kind of stuff that you're used to when they're qualifying to get the mortgage, To prove that they can no longer afford it. Does that make sense?

**00:49:37 Speaker 1**

Well, it kind of doesn't, but it sort of does too, right? Okay. So, this warns your seller that the mortgage company is going to ask for all of that documentation. It gives us authorizations to collect and share information on their behalf. That's what section three is. Section four is kind of the all the things, All the goofy stuff that has to do with a short sale that they should know about. They're not going to receive any proceeds at closing, most likely. Sometimes they can receive a thousand, but it's usually zero. Let's see. In fact, they may even be required depending on the approval. They may, let's say they submit bank statements and stuff and tax returns and the mortgage company figures out. Okay, They really can't afford to keep this mortgage, but I see that they have eight thousand in the bank. We're going to make them bring five thousand to closing.

**00:50:34 Speaker 1**

Okay, that happens, right? You've seen that. Yeah,

**00:50:36 Speaker 2**

I should say okay you're getting this much back on your taxes. We want this much of it. That's right.

**00:50:42 Speaker 1**

That's right. Remember these guys are not interested in helping your client. These guys are interested in minimizing the loss or mitigating the loss to the mortgage

company. Uh, okay. Let's see it warns them that there may be some collection efforts or. Or a deficiency judgment against them after the short sale process because remember the mortgage company is left holding this bag without getting paid. So um uh, let's see it may go into foreclosure during the short sale process. That's that's in there too. 4b right? Uh, let's see 4C a short sale transaction may have a negative impact on seller's credit. So foreclosure is bad on credit.

**00:51:30 Speaker 1**

Short sale is less bad on their credit. Okay, You can your credit will recover from a short sale faster than it will recover from a foreclosure. And, it doesn't what's tricky is it doesn't ever show on the credit report as a short sale. It typically shows as uh settled or paid in full for less than original balance or something like that. Okay, and that's the part that will usually bang up your credit. Um Let's see. We already talked about that. We already talked about that. It reminds them, 4E, That there are other potential options that they have for avoiding a short sale or a foreclosure, okay? And it runs through those. Those are the things we already talked about. The company, meaning us, we don't have control over the decisions of the third parties. They're going to decide what they're going to decide. We're here to help facilitate the process but it is not up to us.

**00:52:30 Speaker 1**

And let's see. And we talked about the brokerage fees may change, you know, depending on what the third parties approve. Okay, again, we've got another warning to consult with legal counsel and tax professionals. And section five says that again. You get the idea? This is a big deal, okay? People who are doing a short sale like I said are typically they're vulnerable. Because, it's a vulnerable situation, and they're not in. This is not probably what they planned when they bought the house. Okay, okay, we did that one and that one. Now let's talk about when you get an offer or you make an offer. Um, if the offer does not include this short sale addendum, you are going to counter that offer with this. Okay, just like you would if uh if you are selling a house.

**00:53:28 Speaker 1**

Or your kid, and they don't include the disclosure of interest, you're going to counter with the disclosure of interest. You're going to use the same technique to include a short sale addendum in the repre. Do not accept a repre on a short sale without a short sale addendum, whether you're on the buy side or the seller side. I'll say it again, : Don't let your buyer or seller accept a repre on a short sale without this short sale addendum. It's very important. Okay. So the first parts, uh basically cover the same stuff we've been covering. It's a it's a little education about the short sale and the short sale process. Okay. So I'm not going to go through that again. Um let's see section three basically set acknowledges that the mortgage company may or may not require that multiple offers be sent into them. In fact, some of them require that they not be sent in. It just depends on the mortgage company.

**00:54:25 Speaker 1**

So that acknowledges that we'll be following their instructions, And it doesn't matter what the buyer and seller want to do as far as multiple offers. Let's see. Okay, section four is very important. So, we said that the short sale process can take many months or it could be really quick or really long, and this says that hey, this contract is good through this date. Okay? That's the short sale approval deadline. We can impose all the deadlines we want. It's not going to do anything to influence how fast the mortgage company approves the short sale. But what this does is it says this contract is not an eternal contract. This contract will lapse if the short sale is not approved by X date. Does that make sense? Okay, okay, The next one is a short one but it's also important. This dictates when.

**00:55:20 Speaker 1**

Buyer and seller agree to have the earnest money deposited. If you're on the sell side, you want the first box checked. If you're on the buy side, you want the second box checked. Why?

**00:55:31 Speaker 2**

So they don't have to do it until it's accepted. To approve it.

**00:55:36 Speaker 1**

Yeah, The buyer doesn't have to write a check or whatever until the mortgage company approves it. Why, would you want? Why would you care if you're on the sell side about getting a check early if the buyer has right to cancel? Anyway? So what difference does it make?

**00:55:55 Speaker 2**

It just seems more. I mean, more secure. Yeah,

**00:56:02 Speaker 1**

That's exactly right. There's an emotional tie that comes along with that. You are more likely, even just a little bit, You are more likely to retain that buyer if there's an earnest money on or excuse me if there is earnest money on deposit. Okay? That being said, It's, you know, it doesn't have to be a deal breaker. But if you're the seller, you prefer the first box, if you're a buyer, you'll prefer the second box or there's another box, you can make up something else too. But talk to me before use that one, please. Okay, sellers, right to accept backup, backup offers this again may depend on the mortgage company stipulations, but usually, you're going to once you accept a.

**00:56:50 Speaker 1**

A contract on your short sale listing, Usually you are going to put it in backup status, and it's going to be like short sale backup status. Okay, and you'll continue to receive offers. Whether the bank wants to see them or not depends on the bank, depends on the mortgage company. Okay, And we talked about about already we

we mentioned the fact that the buyer or the seller cancel the receipt ;, they cancel it up to the. Short sale approval deadline or the actual short sale approval whichever comes first. Okay. Um let's see I guess I am asking for questions. We don't have a lot of time left, but questions before I move on, I got two more. Nope, okay. All right, all right. So uh, let's see, oh, I forgot the, the last part I wanted to mention is the contract deadlines. Okay, these.

**00:57:48 Speaker 1**

Are this is again an addendum to the Repsy. So it doesn't matter what's on page six, section twenty four of your Repsy. This will control. Okay? Some you can put dates in there. In fact, I probably would page six, section twenty four of the Repsy, but it doesn't matter. What will control is what's here. Um You could also put back in the day we used to say C addendum, okay, or CSS addendum C short sale, addendum You can do it either way. And I just made these dates up. There's nothing special about these dates, except that with a in a short sale, these dates better be shorter than they would be on a normal sale. Why?

**00:58:29 Speaker 2**

These dates here should be shorter?

**00:58:30 Speaker 1**

Yeah. Yeah, I, you shouldn't you shouldn't have a thirty day settlement deadline most of the time or a two week inspection period or a five day seller disclosure. Why? Why Wendy?

**00:58:45 Speaker 2**

Because hopefully, I mean, can't that already be?

**00:58:48 Speaker 1**

Yeah. You should have your stuff together. Okay. By the time this gets approved, you should have your stuff together. The seller and the buyer, okay? That doesn't mean you've run an appraisal. It doesn't mean you've already hired the inspector. You should still have time in there for that, but you should not be scrambling at that point. Yeah, yeah yeah yeah yeah okay. You you, buyer and seller can agree to whatever schedule and dates they want to. But in general, if you're on the buy side, I would keep these shorter because you'll have time. Okay, let's do the backup addendum. The backup addendum is actually very similar to our regular backup addendum, but it has a few extras. So let's go to one point three additional backup contracts. Okay, because seller and the third parties desire to minimize their respective losses, we have the right to.

**00:59:42 Speaker 1**

Accept additional backup contracts. So there's not just one backup offer, you can be one of many backup offers on a short sale. That's one difference, okay? Uh let's see submission of prior repsee. This. So this says that the the primary repsee has



already been submitted to the third party for approval and that you will either be submitted or not. Section 1.5 spells that out. Your backup contract may or may not be submitted to the third party approver. Okay. Um, 1.6 just says what we've already said, the the approving mortgage company may modify the terms. Okay? And if the approving mortgage company modifies the terms and the buyer or the seller, either party don't agree to them, you can you can bail. It's you're not obligated to you're not just subject to the mortgage company um.

**01:00:39 Speaker 1**

If you don't agree to the mortgage company's terms, then there's going to be no sale. But you're not bound to their terms until, well, until the next form. Okay? In fact, let's go there next. Okay? The last form I wanted to talk about - -. This is once you actually get the short sale approval - - You're going to get a letter from the mortgage company. And it'll be like approval, third party approval letter or short sale approval. I don't know if they have different titles. There's no standard title, But you'll get a letter from the mortgage company that says it's approved with these conditions. Okay? And you're going to attach it. In fact, let me go through this little by little here. Okay? Acknowledgment of third party approval. So it references section two of the short sale, addendum about the third party approval.

**01:01:35 Speaker 1**

It says, according to that, We know there's a third party and there's an approval deadline and all that jazz. And this says that, hey, guess what? As of today we got a third party approval. It's official notification to the buyer that there is a third party approval, which will activate a few things in the contract. Not, the least of which is those deadlines that we talked about in the short sale. Addendum. Okay?

**01:02:04 Speaker 1**

Okay, Once that happens and again, right here in the addendum, it says that the short sale approver, the short sale approval letter is attached as exhibit A to this addendum. Okay. And, then you're going to clarify the new dates based on the short sale approval date. Okay. And it's possible that the short sale approval itself will modify those dates. That's pretty common too actually. We used to submit like sixty day closings on a short sale, and they would frequently get put at forty five days was a favorite timeframe. Okay, but again, T here is no reason to go that long, usually because everybody's got their stuff ready. So you clarify those dates, Buyer and seller sign that now you have a much more normal contract to deal with. Now you can take this thing to closing just like you normally would. You can you know project.

**01:03:03 Speaker 1**

The closing time much more accurately because now you are just dealing with the buyer's lender. The seller's lender has done their part as long as t here is no foreclosure pending. If t here is a foreclosure, yeah, that's something that you can track okay one hundred percent of the time. You can track a pending foreclosure so



if you get a short sale, if you get a short sale transaction, call me I want to know anyway okay Um, But especially if you find out that there's been a notice of default issued or anything else indicating that there might be a foreclosure, I want to talk. Okay, because you can track it and you should track it. And many times it's hard, but we can usually do it. We can get the foreclosure forestalled with enough time to to close on the short sale. Whew! That's yeah. We just went through a lot of forms. Okay? But I think we got it so.

**01:03:59 Speaker 1**

What are we? We're 12:01. Not too bad, not too bad. Um, thank you. Okay, who's left? Oh, we still got Paula and Dallin. Well done you guys. Okayum what questions do you guys have? We just covered a ton of groundum and if you guys have time to stick around for a minute, I want to know what questions are on your minds about short sales.

**01:04:25 Speaker 3**

I probably don't have any. Until I'm there, then I'll be calling you with all my questions.

**01:04:29 Speaker 1**

Well, good. I'm hoping that's the case. When you get a short sale or even a potential short sale, I want you to call me. I want to talk about it. It's yeah, it's not a requirement. I'm not saying you must go no, but but i yeah, i heavily invite you to call me. Um okay, anything today,

**01:04:52 Speaker 2**

I lost my i had a team member. She quit all the short sales. I mean, she got out of the business. Oh, an agent? Uh- huh.

**01:05:01 Speaker 1**

Oh boy, she was just fed up with ultimatum members.

**01:05:04 Speaker 2**

Yeah, that hurt for a minute.

**01:05:06 Speaker 1**

Oh yeah, they're um. yeah, if you are not prepared for how unreasonable they can be, It can be really anguishing vexing They can be vexing, and so much respect to the ice I can see both of their faces right now in my head The Swensons. The this not yeah, Marianne. It's not not the same Swensons who are in our office. There is also a husband and wife team that sort of work in our office, the Swensons. But yeah, Marianne Swenson, they were. She was in our brokerage and I forgot her husband's name because she's the one who did most of the work with. Um oh, what was it called? It just went out my head North Star North Star Realty and then they rebranded to Integra Realty. But yeah, we were with North Star.

**01:05:54 Speaker 1**

Ron, it was Ron and Mary Ann Swenson. Yes. Yeah, they everything they had was red. They dressed in red, their logo was in red, everything was red. Anyway, Hats off to to agents who specialized in short sales back in the day because they were once you knew what you're doing, you could really make a career out of it, but they weren't easy to do. It was rewarding to do it. Your client was usually very, very happy. One one other thing, one other heads up with short sales is. If you have a savvy listing agent and you're on the buy side, you're not likely to get repairs done. Why do you think that is on a short sale?

**01:06:36 Speaker 3**

Because they're already at their limit.

**01:06:38 Speaker 1**

Yeah, Usually, the seller doesn't have any money or they realize they're not going to get any more money out of the property. Yeah, there's little point. They could save on tax consequences or something like that, or collections later, but that's usually not where their mind is. There's usually very little motivation for a seller to do repairs on a short sale. I'm not saying it can't happen, but it usually doesn't. Okay. Good stuff. Hopefully that was useful if not exciting. Yeah, it was good. Okay, excellent. Okay go get 'em! All right thanks you guys I'll see ya.

**01:07:19 Speaker 1**

Go, Jenna. Go with the closing.